are not too encouraging. Although cases of hospitalisation have been low so far, the rapid spread itself could make authorities resort to more stringent measures, hurting businesses further.

The industry has already raised a word of caution. "We need to make sure that only minimum restrictions are in place to help slow down the spread (of the virus), rather than restrictions for the sake of it," says T.V. Narendran, Confederation of Indian Industry (CII) president and CEO of Tata Steel. A big learning from the first two waves has been that decisions on lockdown/restrictions are best left to the states and local authorities, where containment becomes more effective while allowing essential services to operate. This helped businesses get back on their feet quickly, and the country posted a second quarter GDP growth of 8.4 per cent in 2021-22 (marginally better than the same period in pre-pandemic 2019-20). "Last year, states did not stop logistics, and allowed most manufacturing to open. This time too, we expect the states to be a lot more balanced," says Naushad Forbes, co-chairman of engineering firm Forbes Marshall.

SERVICES IN PERIL

As in the previous two Covid waves, the sectors that will be most affected are hospitality, travel and tourism and the retail segment, wiping out whatever rebound had happened in the past 2-3 months. "The services sector is unlucky for the third time," says Madan Sabnavis, chief economist, Bank of Baroda. Despite all the growth in online retail, firms still bet on offline sales as consumers have a tendency to spend on impulsive buying when they do physical purchases. The wedding season, added to the year-end celebrations, had been much anticipated by hotel owners. "There is so much uncertainty now. We have started to see cancellations, especially since participants at weddings are now limited to 50," says a hotel owner in Pune. Tourism in the national capital region has seen a 70 per cent drop as Covid cases flare up. Goa is looking at a 25 per cent drop, while in Kerala, where the tourism sector employs 25 per cent of the workforce, the jitters are setting in again. Federation of Hotel & Restaurant Associations of India (FHRAI) estimates say cancellations of meetings, weddings and other Christmas and New Year celebrations alone has cost the industry Rs 200 crore. "There is a lot of anxiety, because considerable capital has been put in after two successive lockdowns to reopen and restart operations," says Pradeep Shetty of FHRAI.



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"Businesses will not hire in an uncertain environment," says Sabnavis. "The question they would ask is: should we be taking in someone at this stage?" Despite an uptick in many businesses over the past couple of months, job creation is still under a cloud. The Centre for Monitoring Indian Economy (CMIE) estimates that India is still 3 million jobs short of pre-pandemic levels. Also dampening sentiment is high inflation. Consumer price inflation (CPI) is expected to have touched 6 per cent in December, according to analysts.

The aviation sector, which had been hit hard in the past two years, is bracing for yet another jolt. Indigo Airlines says it will reduce flights by up to 20 per cent, and waive its changing fee as passengers are altering travel dates. Aviation research firm Capa has said international travel will remain 70 per cent lower in 2021-22 compared to 2019-20 levels. The Indian airline industry may report a loss of up to $3.8 billion (Rs 28,120 crore) in 2021-22, it estimates.

BIG DAMAGE TO SMALL UNITS

One of the worst affected sectors in the two waves was the MSME (micro, small

SECTORAL IMPACT

HOTELS, BARS & RESTAURANTS

SIZE (2019-20)
$32 billion
(₹2.4 LAKH CRORE)

NO. OF JOBS
48 million

Impact
Weekend curfews, 50% capacity, low cap for weddings are hurting

What can bring relief
Direct salary transfers, waiver of utility bills

Source: ibef.org, industry estimates